

Al level economics

Chp:- Demand and Supply

Topic:- Price elasticity of Supply

alpha

By:-

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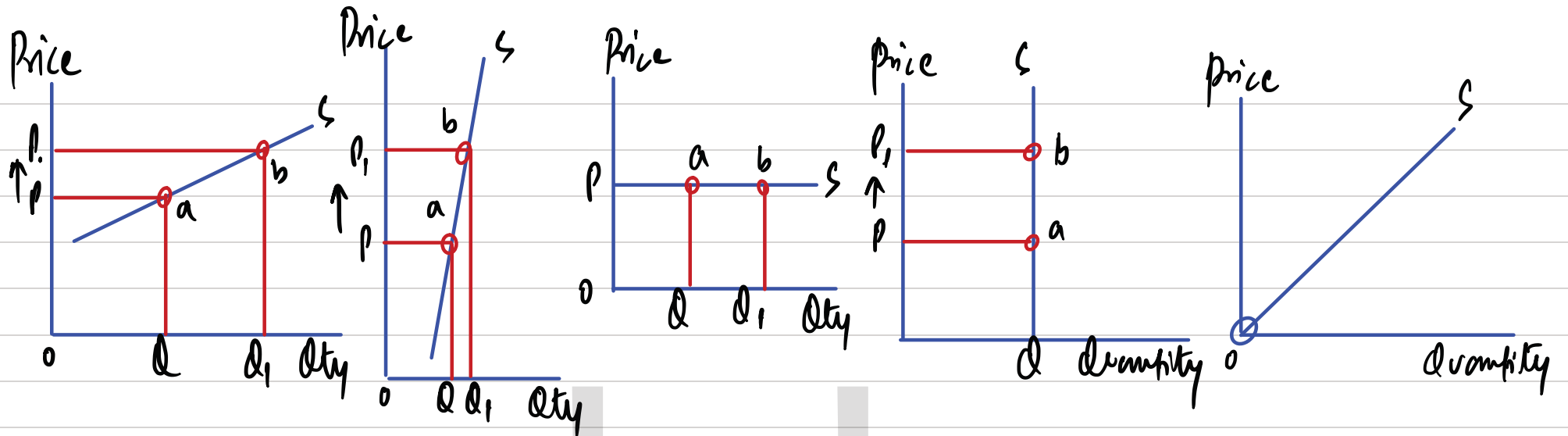
Price Elasticity of Supply (PES)

It measures the responsiveness to the percentage change in quantity supplied to the percentage change in price

$$\text{PES} = \frac{\text{percentage change in quantity supplied}}{\text{percentage change in price}} = +ve \quad (\text{Remember law of supply})$$

PES:- $>1, <1, =1, 0, \infty$

- >1 , elastic supply, percentage change in quantity supplied greater than percentage change in price.
- <1 , inelastic supply, percentage change in quantity supplied is smaller than percentage change in price
- 0 , perfectly inelastic supply, percentage change in price doesn't change quantity supplied
- ∞ , perfectly elastic, this essentially means that any amount of a good will be supplied at a prevailing price.
- $=1$, Unitary, percentage change in price is equal to percentage change in quantity supplied.



Determinants / factors / influence of PES:-

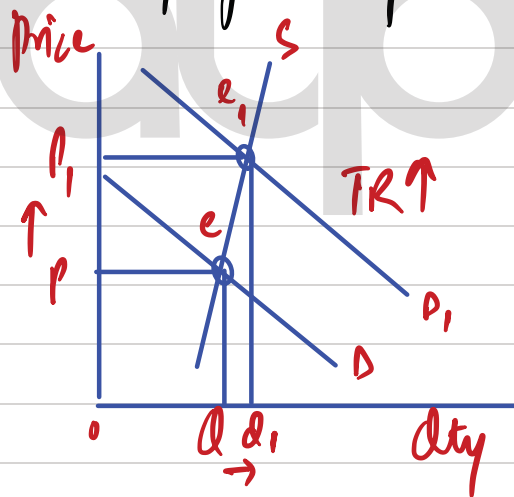
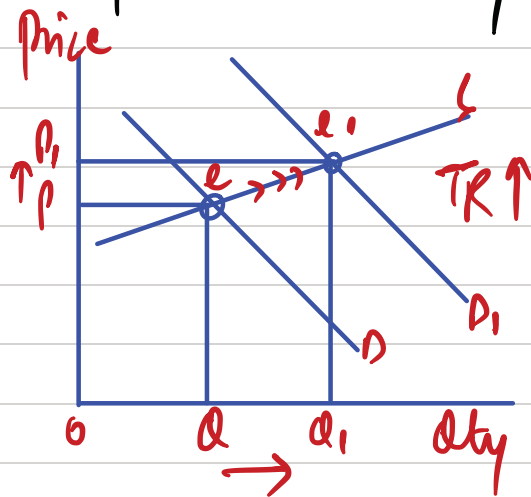
Time period, it may be impossible to increase the supply of a product - perfectly inelastic. In the short term, it may be possible to increase supply to some extent - inelastic. In long term, it will be easier to increase supply - elastic. Since in short run factors of production are fixed, responsiveness is low. So as inputs become variable, responsiveness increases.

If it is relatively easy to store a product, price elasticity of supply will be elastic. But if it is difficult to store, as with many agricultural products, supply will be inelastic.

The less costly it is to increase the supply of a product, more elastic the supply will be. The more expensive it is to increase the supply, it will be inelastic.

Implications of PES for decision making

Consumers benefit from supply being elastic. This is because it means that supply is responsive to consumer demand. If demand increases, price will rise. If supply is elastic, the quantity supplied will rise by a greater percentage than the change in price. Sales may rise significantly without there being a large increase in price.



Producers will always benefit whether supply is elastic or inelastic, an increase in demand will increase the revenue, as greater units will be sold at a higher price.

Knowledge of PES can help to explain the speed and ease with which businesses can respond to changing market conditions. Especially in the short run, the PES for agricultural products is usually more price inelastic than the PES for manufactured

goods. Businesses can hold stock for variations in demand; when there is an unexpected increase in demand, stock can be released quickly and without too many problems. In the longer term, if the increase in demand is expected to persist, the scale of the business can be expanded to increase productive capacity. This takes time depending on the scale of change that is required.

The situation in agricultural markets is different. The market supply, nationally and internationally, is more price inelastic than in the case of manufactured goods. Supply is also unstable since crop yields are not easy to predict due to various external forces that affect the agricultural market. External forces include natural disasters, the growing effects of climate change on crop yields, health scares such as swine flu outbreaks and the increased scale of protection of agricultural markets by developed economies such as the USA and the European Union. These external forces mean that the PES for agricultural goods is more price inelastic than for manufactured goods.

Questions

marks: 24

Q1 Define PES and explain its values ? 12

Q2 Explain the factors of PES ? 6

Q3 Explain the usefulness of PES ? 6

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